INSURANCE

# BACKUP FINANCIAL PLAN

Insurance is a must-have financial solution, especially for your dependants, to absorb financial shocks at the least expected moment



*Illustration by* SIDDHANT JUMDE

Even though most of us know that having insurance is important, buying a policy isn't exactly top priority. Thoughts about meeting with an accident, damage to your car, falling sick or dying are all unpleasant, and delay the process of taking the right type of insurance to deal with the events. The procrastination that sets in when thinking about buying insurance can cause a lot of financial and emotional turmoil when an unexpected event occurs.

Moreover, it is unlike other financial goals such as setting aside money for emergencies or investing in the down payment for a house or just saving for the family holiday in the summer, which seem a lot more interesting to plan. With life insurance penetration at less than 4 per cent and any form of health, accident or asset insurance even lower, it means there are many people who do not have insurance. Unfortunately, even those who do have some form of insurance tend to skimp on the insurance they take. People tend to be highly under-insured, which exposes their financial plans to vulnerabilities.

## WHERE DOES INSURANCE FIT?

Insurance is all about being prepared for the unexpected that ensures you can reach your financial goals even after facing a crisis. In its most primal role, insurance makes sure that you do not have to empty your savings or forgo your other financial aspirations. Insurance can also protect your loved ones if you are injured in an accident, become sick or disabled, or die. Then there are certain situations that can have huge financial implications for those who are uninsured. It is important to purchase any insurance based on your financial state and it is recommended to get insured before you get serious about investing.

Planning of any kind involves setting objectives to be met over a specified time. However, all financial plans come with risks that could derail your entire plan, which is where insurance comes in handy. Insurance essentially makes it easier to navigate financial obstacles.